

Canada Bread Company, Limited

Interim Report to Shareholders

for the **Second Quarter** ended June 30, 2010

Report to Shareholders

Management's Discussion and Analysis

For the second quarter ended June 30, 2010

Financial Overview

Adjusted Operating Earnings declined 8.3% to $30.4 million for the quarter from $33.1 million last year and Adjusted Earnings per Share decreased to $0.84 from $0.89 last year. Net earnings of $20.7 million or $0.81 per share were lower than last year's net earnings of $22.5 million or $0.89 per share.

Note: *Adjusted Operating Earnings are defined as earnings from operations before restructuring and other related costs and other income. Adjusted Earnings per Share ("Adjusted EPS") are defined as basic earnings per share adjusted for the impact of restructuring and other related costs, net of tax. Refer to the section entitled Non-GAAP Financial Measures on pages 6 and 7 of this Management's Discussion and Analysis.*

Sales for the quarter declined 7.8% to $402.1 million compared to $435.9 million last year mainly due to currency translation impacts of a stronger Canadian dollar on sales denominated in U.S. dollars and British pounds. After adjusting for currency translation impacts, sales declined 4.2% mostly due to lower volume in the North American and U.K. frozen bakeries. Similar factors contributed to reduce year-to-date sales by 7.7% to $784.0 million from $849.0 million in the first half of last year. Excluding the impact of currency, sales in the first half of 2010 declined 4.0%.

Lower Adjusted Operating Earnings in the second quarter mainly resulted from the decline in sales volume in the Frozen Bakery segment, partly offset by improved earnings in the Fresh Bakery segment. Similar trends in the first and second quarters of 2010 resulted in a reduction of year-to-date earnings to $50.7 million from $54.5 million last year.

Net earnings in the second quarter declined to $20.7 million or $0.81 per share compared to $22.5 million or $0.89 per share last year as a result of lower Adjusted Operating Earnings and higher restructuring costs. Restructuring charges that were recorded in the second quarter mostly related to the restructuring of the specialty baked goods production in the U.K. and the announced construction of a new large-scale bakery and the related consolidation of three smaller bakery facilities in Ontario. The benefit of lower interest expense in the quarter was offset by lower other income. Year-to-date net earnings were $33.4 million or $1.31 per share compared to $37.4 million or $1.47 per share last year.

Business Segment Review

The following table summarizes sales by business segment:

	Second Quarter		Year-to-Date	
($ thousands)	**2010**	2009	**2010**	2009
Fresh Bakery	**$ 282,530**	$ 290,258	**$ 539,719**	$ 553,261
Frozen Bakery	**119,532**	145,660	**244,275**	295,782
Sales	**$ 402,062**	$ 435,918	**$ 783,994**	$ 849,043

The following table summarizes Adjusted Operating Earnings by business segment:

	Second Quarter		Year-to-Date	
($ thousands)	**2010**	2009	**2010**	2009
Fresh Bakery	**$ 27,515**	$ 25,379	**$ 48,206**	$ 38,197
Frozen Bakery	**2,871**	7,762	**2,504**	16,294
Adjusted Operating Earnings	**$ 30,386**	$ 33,141	**$ 50,711**	$ 54,491

Fresh Bakery

Includes fresh bakery products, including breads, rolls, bagels, sweet goods, prepared sandwiches, and fresh pasta and sauces sold to retail, foodservice and convenience channels. It includes national brands such as Dempster's® and Olivieri® and many leading regional brands.

Second quarter sales of $282.5 million were slightly lower than sales of $290.3 million in the same period last year, mostly due to increased trade investment in fresh bakery operations due to increased competitive pressure in the Canadian marketplace and lower sales volumes in the fresh sandwich business. Year-to-date sales declined to $539.7 million from $553.3 million last year reflecting similar factors.

Adjusted Operating Earnings in the quarter increased to $27.5 million from $25.4 million in the same period last year as Fresh Bakery operations mostly benefited from a stronger Canadian dollar which reduces the cost of U.S.-dollar-priced ingredients. These benefits were offset by inflationary costs, higher trade investment and increased brand and innovation support. Brand and innovation investment included advertising and promotional expenses to support Dempster's® Oven Fresh™, Dempster's® Pita, and the new Dempster's® Smart™ 16, a line extension of Dempster's® Smart™, which includes 16 whole grains and reduced sodium.

Year-to-date Adjusted Operating Earnings improved to $48.2 million compared to $38.2 million last year.

Frozen Bakery

Includes frozen bakery products, including frozen par-baked bakery products, specialty and artisan breads, and bagels sold to retail, foodservice and convenience channels in North America and the U.K. It includes national brands such as Tenderflake® and New York Bakery Co®.

Sales in the quarter declined 17.9% to $119.5 million from $145.7 million last year, in part due to currency translation impacts of a stronger Canadian dollar on the Company's sales in the U.S. and U.K. After adjusting for currency translation impacts, sales declined 8.2%, due to lower sales volume in both the North American and U.K. frozen bakery businesses. In North America, lower sales volumes resulted from changes implemented by certain retail customers earlier in 2010. Management continues to expect the impact of lower sales volumes to be transitory. Progress was made in the second quarter in securing new business to replace lost volume and volumes are expected to improve toward the end of the year. In the U.K., sales volumes continued to be impacted by depressed specialty categories following a trend that began with the recessionary impacts of 2008. Lower promotional activity compared to the prior year also impacted volumes in the U.K. Similar factors contributed to the reduction in year-to-date sales to $244.3 million from $295.8 million last year.

Adjusted Operating Earnings in the quarter declined to $2.9 million compared to earnings of $7.8 million last year, mostly due to the decline in sales volume and related operational inefficiencies.

Lower earnings in the North American frozen business were mainly driven by lower volumes and increased fuel costs that were only partly offset by favourable currency movement and lower wheat costs. In the U.K., margins were further compressed by increased ingredient costs, primarily butter, which is a significant component of croissants. These impacts in the second quarter were partly mitigated by cost reduction efforts as the Company completed an investment to transfer a specialty baked goods production line to its Maidstone facility, regrouping production of specialty baked products into one site, which will reduce operating costs and improve efficiencies.

Further actions in the U.K. will continue to be implemented in the second half of 2010, including price increases to recover increased ingredient costs. Management is also planning investment in promotional activity to support sales growth in the U.K. market.

Year-to-date Adjusted Operating Earnings were $2.5 million compared to $16.3 million last year. While earnings in both the first and second quarter of 2010 were impacted by lower sales volumes and related inefficiencies, the earnings run rate in the second quarter of 2010 improved compared to the first quarter.

Gross Margin

Gross margin was $85.0 million, largely consistent with last year. As a percentage of sales, gross margin increased to 21.1% in the quarter compared to 19.6% last year. Margin rate improved in Fresh Bakery, as the fresh bakery operations mostly benefited from a stronger Canadian dollar. This was offset by margin rate compression in the Frozen Bakery segment due to the impact of lower sales volumes on manufacturing overheads. Year-to-date gross margin was $160.1 million, slightly below $161.2 million last year, representing 20.4% of sales compared to 19.0% in the first half of last year.

Selling, General and Administrative Expenses

Selling, general and administrative expenses increased to $54.6 million from $52.2 million last year. The increase was primarily driven by increased investment to support recent product launches in the fresh bakery operations. Selling, general and administrative expenses represented 13.6% of sales compared to 12.0% in the prior year.

Year-to-date selling, general and administrative expenses were $109.4 million compared to $106.7 million. The increase was driven by higher expenses in the second quarter of 2010. As a percentage of sales, selling, general and administrative expenses increased to 14.0% from 12.6% in the prior year, primarily reflecting the decline in sales compared to last year.

Restructuring and Other Related Costs

During the second quarter, the Company recorded restructuring and other related costs of $0.8 million (2009: $0.1 million). These costs related primarily to the restructuring of the specialty baked goods production process in the United Kingdom and accelerated depreciation associated with the announced consolidation and closure of three Greater Toronto Area bakeries in the Company's fresh bakery business. For the year-to-date, restructuring and other related costs were $2.5 million (2009: $0.7 million).

Other Income

Other income was not significant in the quarter compared to other income of $0.8 million last year. Other income was $0.1 million in the first half of 2010 compared to $2.5 million last year. Other income received in both the first and second quarters of last year was primarily comprised of insurance proceeds received to cover business interruption losses resulting from the oven fire at a U.K. bakery in 2008.

Interest Expense

Interest expense for the second quarter decreased to $0.9 million compared to $1.8 million last year, primarily due to lower average debt balances. Year-to-date interest expense was $1.9 million compared to $3.3 million last year. During the second quarter of 2009, the Company settled its obligation under two interest rate swaps with Maple Leaf Foods Inc. for $8.5 million. The cumulative hedging loss on the swap which has been deferred in other comprehensive income is being amortized to interest expense over the next four years.

Taxes

The Company's income tax expense is comprised of tax on earnings from operations before restructuring charges and other related costs at a rate of 27.9% (2009: 29.4%) and taxes recovered on restructuring and other related costs at a rate of 25.1% (2009: 22.3%). The lower tax rate related to ongoing earnings is due primarily to lower federal and provincial statutory tax rates.

Cash Flow and Financing

Cash balances, net of debt, were $78.4 million at the end of the second quarter, compared to $60.0 million as at March 31, 2010 and debt, net of cash balances of $3.4 million at the end of the second quarter of 2009. The improvement during the quarter was principally due to higher cash flow from operations, partially offset by investment in property and equipment.

Cash Flow From Operating Activities

Cash inflows from operating activities increased to $34.6 million for the second quarter compared to $27.6 million in the prior year period, as a result of reduced investment in working capital compared to the same period last year.

Cash Flow From Financing Activities

Cash flow from financing activities was an outflow of $1.4 million for the second quarter compared to an outflow of $8.8 million in the prior year. The year-over-year change is due primarily to the settlement of interest rate swaps with Maple Leaf Foods Inc. in 2009.

As at June 30, 2010, the Company and its subsidiaries had available undrawn credit of $269.1 million under the terms of its credit arrangements and available cash of $88.9 million. The Company's principal credit facility is subject to certain financial covenants. As at June 30, 2010, the Company was in compliance with all of its financial covenants.

The Company is exposed to fluctuations in the prices of raw materials, seasonal and other market-related price changes, particularly wheat costs. Due to the sales volumes and rapid turnover of inventories, the impact of these price fluctuations is generally short-term. When commodity price increases are significant, it can increase the funding required for investments in working capital. These working capital requirements will be funded from operating cash flow and existing credit facilities. Management is of the opinion that operating cash flow and existing credit facilities provide the Company with sufficient resources to finance ongoing business requirements and its planned capital investment.

Cash Flow From Investing Activities

Cash flow from investing activities was an outflow of $14.7 million for the second quarter compared to an outflow of $9.2 million in the prior year period, as a result of increased capital expenditures.

Capital expenditures on plant and equipment for the second quarter increased to $14.6 million compared to $9.5 million last year. Included in capital spend in the second quarter of 2010 were early costs related to the construction of a new large-scale fresh bakery in southwestern Ontario which was announced in January 2010. The new bakery will replace three existing older, smaller facilities located in that region and is expected to be commissioned in mid-2011. A three-year transition is anticipated to the new facility. Other capital expenditures in the second quarter also included the commissioning of a new production line in the frozen bakery facility located in Calgary, Alberta. Year-to-date capital expenditures were $22.1 million in 2010 compared to $24.4 million last year as capital spent during the first quarter of 2010 was lower than last year due to timing of projects.

Credit Risk

In the normal course of business, the Company is exposed to credit risk from its customers, substantially all of which are in the grocery and foodservice markets. The Company performs ongoing credit evaluations of new and existing customers' financial condition and reviews the collectibility of its trade and other accounts receivable in order to mitigate any possible credit losses. The Company maintains an allowance for uncollectible accounts that represents its estimate of uncollectible amounts. This allowance is based on specific losses estimated on individually significant exposures. As at June 30, 2010, the Company has recorded $1.9 million (2009: $2.5 million) in allowances for uncollectible accounts. Based on the above assumptions, the Company believes that the allowance for uncollectible accounts sufficiently covers any credit risk related to past due or impaired accounts receivable balances.

Summary of Quarterly Results

The following is a summary of unaudited quarterly financial information (in thousands of dollars, except per share information). All amounts except Adjusted Earnings per Share are derived from the Company's unaudited consolidated financial statements for each of the completed quarters and are prepared in accordance with Canadian GAAP.

		First Quarter	Second Quarter	Third Quarter	Fourth Quarter
Sales	**2010**	**$ 381,932**	**$ 402,062**		
	2009	413,125	435,918	$ 424,555	$ 432,190
	2008	382,869	437,418	443,086	444,957
Net earnings	**2010**	**$ 12,727**	**$ 20,686**		
	2009	14,882	22,537	$ 25,050	$ 15,009
	2008	12,211	6,538	19,727	26,460
Earnings per share					
Basic and diluted	**2010**	**$ 0.50**	**$ 0.81**		
	2009	0.59	0.89	$ 0.99	$ 0.59
	2008	0.48	0.26	0.77	1.04
Adjusted EPS (i)	**2010**	**$ 0.55**	**$ 0.84**		
	2009	0.60	0.89	$ 1.00	$ 0.70
	2008	0.52	0.30	0.93	1.13

(i) *Basic earnings per share adjusted for the impact of restructuring and other related costs, net of tax.*

Quarterly sales in 2010 were impacted by the following significant items:

- the appreciation of the Canadian dollar relative to the U.S. dollar and the British pound which reduced the sales value of frozen bakery products sales in the U.S. and U.K.
- lower sales volumes of frozen bakery products in the U.S. and U.K.

Quarterly sales in 2009 were impacted by the following significant items:

- price increases implemented in 2008 in response to escalating input costs
- increased sales volumes and favourable mix in the fresh bakery and fresh pasta and sauces businesses
- lower volumes in the fresh sandwich business
- the depreciation of the Canadian dollar relative to the U.S. dollar and the British pound in the first three quarters of 2009 which increases the sales value of frozen bakery products sales in the U.S. and U.K.
- lower sales volumes and a change in mix from specialty and premium products to staple products in the U.K. bakeries in part due to the economic recession

Net earnings in 2010 were impacted by the following significant items:

- lower earnings from frozen bakery products in the U.S. and U.K. due to reduced sales volume in both regions

Net earnings in 2009 were impacted by the following significant items:

- normalization of bakery margins in 2009, except in the U.K. bakery business which was impacted by the effects of the global economic recession, due mostly to the combination of prior year price increases and the decline in commodity costs
- the impact of lower sales volumes and change in mix in the U.K. bakery operations

For an explanation and analysis of quarterly results, refer to Management's Discussion and Analysis for each of the respective quarterly periods filed on SEDAR and also available on the Company's website at www.canadabread.ca.

Non-GAAP Financial Measures

The Company uses the following non-GAAP measures: Adjusted Operating Earnings, Adjusted EPS and Net Debt. Management believes that these non-GAAP measures provide useful information to both Management and investors in assessing the financial performance of the Company for the reasons outlined below. These measures do not have a standardized meaning prescribed by Canadian GAAP and therefore they may not be comparable to similarly titled measures presented by other publicly traded companies and should not be construed as an alternative to other financial measures determined in accordance with Canadian GAAP.

Adjusted Operating Earnings

The following table reconciles earnings from operations before restructuring and other related costs and other income (expense) to net earnings as reported under Canadian GAAP in the unaudited interim period consolidated statements of earnings for the three- and six-month periods ended as indicated below. Management believes that this is the most appropriate basis on which to evaluate operating results as restructuring and other related costs and other income (expense) are not representative of operational results.

	Three months ended June 30,		Six months ended June 30,	
($ thousands)	**2010**	2009	**2010**	2009
Net earnings	**$ 20,686**	$ 22,537	**$ 33,413**	$ 37,419
Income taxes	**8,046**	9,461	**13,027**	15,633
Earnings from operations before income taxes	**28,732**	31,998	**46,440**	53,052
Interest expense	**904**	1,814	**1,888**	3,307
Restructuring and other related costs	**805**	101	**2,509**	674
Other income	**(55)**	(772)	**(127)**	(2,542)
Adjusted Operating Earnings	**$ 30,386**	$ 33,141	**$ 50,710**	$ 54,491

Adjusted Earnings per Share

The following table reconciles adjusted earnings per share to basic earnings per share as reported under Canadian GAAP in the unaudited interim period consolidated statements of earnings for the three- and six-month periods ended as indicated below. Management believes this is the most appropriate basis on which to evaluate financial results as restructuring and other related costs are not representative of operational results.

	Three months ended June 30,		Six months ended June 30,	
($ per share)	**2010**	2009	**2010**	2009
Basic Earnings per Share	$ 0.81	$ 0.89	$ 1.31	$ 1.47
Restructuring and other related costs (i)	0.02	—	0.07	0.02
Adjusted Earnings per Share (ii)	**$ 0.84**	**$ 0.89**	**$ 1.39**	**$ 1.49**

(i) *Includes per share impact of restructuring and other related costs, net of tax.*

(ii) *Does not add due to rounding.*

Net Debt

The following table reconciles net debt as disclosed in this MD&A to Canadian GAAP amounts in the unaudited interim period consolidated balance sheets at the dates indicated below. The Company calculates net debt as long-term debt and bank indebtedness, less cash and cash equivalents.

	As at June 30,		As at March 31,
($ thousands)	**2010**	2009	2010
Bank indebtedness	**$ 8,071**	$ 9,511	**$ 6,167**
Current portion of long-term debt	**—**	42	**—**
Long-term debt	**2,420**	14,997	**2,311**
	10,491	24,550	**8,478**
Cash and cash equivalents	**(88,875)**	(21,124)	**(68,471)**
Net Debt (Cash)	**$ (78,384)**	$ 3,426	**$ (59,993)**

Disclosure Controls and Internal Control Over Financial Reporting

There have been no changes in the Company's internal control over financial reporting during the period beginning on April 1, 2010 and ended on June 30, 2010 that have materially affected, or are reasonably likely to materially affect, its internal control over financial reporting.

International Financial Reporting Standards

For fiscal years beginning on or after January 1, 2011, Canadian public companies will be required to prepare their financial statements in accordance with International Financial Reporting Standards ("IFRS"). While IFRS uses a conceptual framework similar to Canadian GAAP, there are significant differences in accounting policies that must be evaluated. IFRS will also require more disclosures than Canadian GAAP. The Company will issue its financial statements in the first quarter of 2011 in accordance with IFRS including comparative data for 2010.

In order to meet the requirement of transition to IFRS, in 2008, the Company established an enterprise-wide project team and project plan. The IFRS project philosophy is to align with current accounting practices and policies, where possible, to minimize the impact of any changes to the business. Regular reporting of the progress on the IFRS conversion project is provided to senior management and the Audit Committee of the Board of Directors.

The Company's IFRS conversion project plan is comprised of three main phases: initial diagnostic assessment, design, and implementation. The Company has completed the initial assessment and design phases of the plan and has identified and documented the key accounting and disclosure differences between Canadian GAAP and IFRS.

The Company is in the process of finalizing any accounting adjustments necessary on the transition to IFRS and has completed much of the significant review of transitional adjustments as of January 1, 2010 and for the quarter ended March 31, 2010. During the second quarter of 2010, the Company completed detailed IFRS training for employees impacted by the transition to IFRS, and regular presentations and updates are provided at various forums to prepare personnel for the transition. The Audit Committee of the Board of Directors continues to receive regular progress reports on the status of the IFRS implementation project.

Expected Areas of Significance

A summary of the key accounting differences and IFRS 1 elections was provided in the Company's annual MD&A for the year ended December 31, 2009 as well as policy alternatives under IFRS, including certain exemptions and elections available on transition under IFRS 1, and reference should be made to these disclosures.

Many of the differences identified between IFRS and Canadian GAAP have now been quantified. In the remaining areas, the Company is still quantifying the impacts of identified differences including provisions and the determination of cash generating units for the analysis of potential asset and goodwill impairment under IFRS. Provisions are liabilities of uncertain timing or amount and the recognition criteria under IFRS are different than under Canadian GAAP. These remaining areas could result in material differences from Canadian GAAP. The significant adjustments that have been quantified related to the key accounting differences and IFRS 1 elections are as follows:

Employee Benefits

Under IFRS 1, the Company will elect to recognize all cumulative actuarial gains and losses that existed at the transition date in retained earnings for all of its employee benefit plans. The expected transitional impact of this adjustment is a decrease in other long-term assets of $35.1 million, a decrease in deferred tax liability of $9.1 million and a decrease in retained earnings of $26.0 million. The Company is still assessing the alternative accounting policy choices for employee benefits available under IFRS for periods after the transition date as well as the impact of asset ceiling limitations and other potential differences that may exist at the transition date.

Cumulative Translation Differences

Under IFRS 1, the Company will elect not to retrospectively calculate its cumulative translation balances, and all of these balances will be reset to zero on the transition date. The transitional impact of this adjustment has been finalized and is an increase in accumulated other comprehensive loss of $48.8 million and a corresponding decrease in retained earnings as of January 1, 2010.

Securitization Programs

The Company's current accounts receivable securitization programs do not qualify for derecognition under IFRS. On the transition date, the Company expects to record an increase in accounts receivable and an increase to current portion of long-term debt of $70.0 million. The Company is currently assessing alternative securitization structures. Also, the International Accounting Standards Board is considering proposals to amend IFRS 1 to grandfather non-qualifying securitization transactions from January 1, 2004 to January 1, 2010. The Company will assess the impact of any amendments.

Business Combinations

IFRS does not allow the accrual of restructuring provisions pursuant to an acquisition. Acquisition-related restructuring accruals recorded and still outstanding at December 31, 2009 will be written off through retained earnings. On transition, it is expected that this will result in a decrease in accrued liabilities of $1.4 million, a decrease in deferred tax asset of $0.4 million and an increase in retained earnings of $1.0 million.

Income Taxes

Other than recording the tax effect of the various other transitional adjustments and the reclassification of certain tax balances, the Company does not expect to record any significant tax-related adjustments on the transition to IFRS.

Property, Plant and Equipment
IFRS has more specific guidance than Canadian GAAP on the capitalization and componentization of assets, requiring that significant asset components with different useful lives than the main asset be recorded and depreciated separately. As a result of this difference, the Company has determined that certain assets should have separately capitalized components under IFRS. The quantification of the impact of this difference is still in process.

This summary of expected areas of significance should not be regarded as a complete list of adjustments that will result from the transition to IFRS. It is intended to highlight those areas that have been completed and are most significant. Management's assessment of the impacts of certain differences is still in process and not all decisions have been made where choices of accounting policies are available.

Other Matters

On July 28, 2010, Canada Bread Company, Limited declared a dividend of $0.06 per share payable on October 1, 2010 to shareholders of record at the close of business on September 6, 2010. Unless indicated otherwise, by the Company, in writing at or before the time the dividend is paid, this dividend will be considered an eligible dividend for the purposes of the "Enhanced Dividend Tax Credit System".

Forward-Looking Statements

This document contains, and the Company's oral and written public communications often contain, forward-looking statements that are based on current expectations, estimates, forecasts and projections about the industries in which the Company operates and beliefs and assumptions made by the Management of the Company. Such statements include, but are not limited to, statements with respect to objectives and goals, as well as statements with respect to beliefs, plans, objectives, expectations, anticipations, estimates and intentions. Specific forward-looking statements in this document include, but are not limited to, statements concerning expectations regarding actions to reduce costs and improve efficiencies, restore volumes and/or increase prices, timing of promotional investment, improving business trends in 2010, the expected use of cash balances, source of funds for ongoing business requirements, capital investments and debt repayment, expectations regarding sufficiency of the allowance for uncollectible accounts and the impact of recently adopted accounting pronouncements and the potential impact of the adoption of IFRS. Words such as "expect", "anticipate", "intend", "attempt", "may", "will", "plan", "believe", "seek", "estimate", and variations of such words and similar expressions are intended to identify such forward-looking statements. These statements are not guarantees of future performance and involve assumptions and risks and uncertainties that are difficult to predict.

In particular, these forward-looking statements are based on a variety of factors and assumptions that are discussed throughout this document. In addition, expectations concerning the performance of the Company's business in general are based on a number of factors and assumptions including, but not limited to: the condition of the Canadian, United States and United Kingdom economies; the rate of exchange of the Canadian dollar to the U.S. dollar and British pound; the availability and prices of raw materials, energy and supplies; product pricing; the availability of insurance; the competitive environment and related market conditions; improvement of operating efficiencies; continued access to capital; the cost of compliance with environmental and health standards; no adverse results from ongoing litigation; no unexpected actions of domestic and foreign governments and the general assumption that none of the risks identified below or elsewhere will materialize. All of these assumptions have been derived from information currently available to the

Company including information obtained by the Company from third-party sources. These assumptions may prove to be incorrect in whole or in part. In addition, actual results may differ materially from those expressed, implied or forecasted in such forward-looking statements, which reflect the Company's expectations only as of the date hereof.

Factors that could cause actual results or outcomes to differ materially from the results expressed, implied or forecasted in such forward-looking statements include, among other things:

- the risks associated with changes in the Company's shared systems and processes;
- the Company's exposure to currency exchange risks;
- the ability of the Company to hedge against the effect of commodity price changes through the use of commodity futures and options;
- the risks associated with a consolidating retail environment;
- the risks posed by food contamination, consumer liability and product recalls;
- the risks related to business acquisitions and capital expansion projects;
- the risks posed by compliance with extensive government regulation;
- the risks posed by the adoption of the International Financial Reporting Standards;
- the risks posed by litigation;
- the impact of changes in consumer tastes and buying patterns;
- the impact of extensive environmental regulation and potential environmental liabilities;
- the risks associated with complying with differing employment laws and practices globally and the potential for work stoppages due to non-renewal of collective agreements;
- the impact on pension expense and funding requirements of fluctuations in the market prices of fixed income and equity securities and changes in interest rates;
- the risks associated with the Company's independent distributors; and
- the risks posed by competition.

The Company cautions the reader that the foregoing list of factors is not exhaustive. These factors are discussed in more detail under the heading "Risk Factors" in the Company's Management's Discussion and Analysis for the year ended December 31, 2009 and are updated each quarter in the Management's Discussion and Analysis, which are available on SEDAR at www.sedar.com. The reader should review such sections in detail. The Company does not intend to, and the Company disclaims any obligation to, update any forward-looking statements, whether written or oral, or whether as a result of new information, future events or otherwise except as required by law.

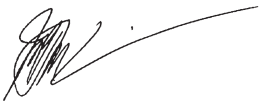
Additional information concerning the Company, including the Company's Annual Information Form, is available on SEDAR at www.sedar.com.

Canada Bread Company, Limited, 90.0% owned by Maple Leaf Foods Inc., is a leading manufacturer and distributor of fresh bakery products, frozen par-baked products and fresh pasta and sauces. The Company employs approximately 8,000 people at its operations across North America and in the U.K.

For the Board of Directors,



Richard A. Lan
President and Chief Executive Officer



Michael H. McCain
Chairman
July 28, 2010

Consolidated Balance Sheets

(In thousands of Canadian dollars)	As at June 30, 2010	As at June 30, 2009	As at December 31, 2009
	(Unaudited)	*(Unaudited)*	
ASSETS			
Current assets			
Cash and cash equivalents	**$ 88,875**	$ 21,124	$ 57,698
Accounts receivable (Note 3)	**70,032**	68,020	63,620
Due from Maple Leaf Foods Inc.	**978**	76	—
Inventories	**57,790**	58,140	56,659
Future tax asset	**1,770**	5,436	1,640
Prepaid expenses and other assets	**5,323**	6,571	4,438
	$ 224,768	$ 159,367	$ 184,055
Property and equipment	**382,044**	410,456	387,252
Goodwill	**384,379**	405,877	386,807
Other intangible assets	**15,482**	20,245	16,678
Other long-term assets	**11,849**	10,453	11,620
	$1,018,522	$ 1,006,398	$ 986,412
LIABILITIES AND SHAREHOLDERS' EQUITY			
Current liabilities			
Bank indebtedness	**$ 8,071**	$ 9,511	$ 4,247
Accounts payable and accrued charges	**183,182**	179,756	172,172
Due to Maple Leaf Foods Inc.	**—**	—	3,817
Dividends payable	**1,525**	1,525	1,525
Income and other taxes payable	**10,022**	12,576	13,155
Current portion of long-term debt	**—**	42	—
	$ 202,800	$ 203,410	$ 194,916
Long-term debt	**2,420**	14,997	2,547
Future tax liability	**32,055**	35,726	33,338
Other long-term liabilities	**8,299**	8,623	8,524
Shareholders' equity (Note 5)	**772,948**	743,642	747,087
	$1,018,522	$ 1,006,398	$ 986,412

See accompanying Notes to the Consolidated Financial Statements.

Consolidated Statements of Earnings

(In thousands of Canadian dollars, except share amounts)	Three months ended June 30,		Six months ended June 30,	
(Unaudited)	**2010**	2009	**2010**	2009
Sales	**$ 402,062**	$ 435,918	**$ 783,994**	$ 849,043
Cost of goods sold	**317,045**	350,578	**623,852**	687,844
Gross margin	**$ 85,017**	$ 85,340	**$ 160,142**	$ 161,199
Selling, general and administrative expenses	**54,631**	52,199	**109,432**	106,708
Earnings from operations before the following:	**$ 30,386**	$ 33,141	**$ 50,710**	$ 54,491
Restructuring and other related costs (Note 7)	**(805)**	(101)	**(2,509)**	(674)
Other income	**55**	772	**127**	2,542
Earnings before interest and income taxes	**$ 29,636**	$ 33,812	**$ 48,328**	$ 56,359
Interest expense	**904**	1,814	**1,888**	3,307
Earnings before income taxes	**$ 28,732**	$ 31,998	**$ 46,440**	$ 53,052
Income taxes	**8,046**	9,461	**13,027**	15,633
Net earnings	**$ 20,686**	$ 22,537	**$ 33,413**	$ 37,419
Earnings per share – basic and diluted	**$ 0.81**	$ 0.89	**$ 1.31**	$ 1.47
Weighted average number of shares (millions)	**25.4**	25.4	**25.4**	25.4

See accompanying Notes to the Consolidated Financial Statements.

Consolidated Statements of Comprehensive Income

(In thousands of Canadian dollars) *(Unaudited)*	Three months ended June 30, **2010**	2009	Six months ended June 30, **2010**	2009
Net earnings	**$ 20,686**	$ 22,537	**$ 33,413**	$ 37,419
Other comprehensive income (loss) (Note 6)	**16,506**	(2,874)	**(4,502)**	920
Comprehensive income	**$ 37,192**	$ 19,663	**$ 28,911**	$ 38,339

Consolidated Statements of Retained Earnings

(In thousands of Canadian dollars) *(Unaudited)*	Six months ended June 30, **2010**	2009
Retained earnings, beginning of period	**$ 658,541**	$ 587,163
Net earnings	**33,413**	37,419
Dividends declared ($0.12 per share; 2009: $0.12 per share)	**(3,050)**	(3,050)
Retained earnings, end of period	**$ 688,904**	$ 621,532

See accompanying Notes to the Consolidated Financial Statements.

Consolidated Statements of Cash Flows

(In thousands of Canadian dollars) *(Unaudited)*	Three months ended June 30, **2010**	2009	Six months ended June 30, **2010**	2009
CASH PROVIDED BY (USED IN):				
Operating activities				
Net earnings	**$ 20,686**	$ 22,537	**$ 33,413**	$ 37,419
Add (deduct) items not affecting cash:				
Depreciation and amortization	**12,380**	14,078	**25,071**	28,155
Future income taxes	**108**	(872)	**(1,933)**	(796)
Loss (gain) on sale of property and equipment	**5**	138	**(47)**	330
Amortization of terminated interest rate swap	**659**	645	**1,317**	645
Change in provision for restructuring and other related costs	**(725)**	(433)	**347**	(974)
Other	**(20)**	(1,388)	**75**	(2,031)
Change in non-cash operating working capital	**1,514**	(7,096)	**(6,201)**	(28,088)
Cash provided by operating activities	**$ 34,607**	$ 27,609	**$ 52,042**	$ 34,660
Financing activities				
Dividends paid	**$ (1,525)**	$ (1,525)	**$ (3,050)**	$ (3,050)
Net increase (decrease) in long-term debt	**109**	1,272	**(127)**	10,520
Settlement of interest rate swaps with Maple Leaf Foods Inc.	**—**	(8,502)	**—**	(8,502)
Cash used in financing activities	**$ (1,416)**	$ (8,755)	**$ (3,177)**	$ (1,032)
Investing activities				
Additions to property and equipment	**$(14,554)**	$ (9,524)	**$(22,110)**	$ (24,366)
Proceeds from sale of property and equipment	**—**	77	**685**	469
Other	**(137)**	255	**(87)**	(945)
Cash used in investing activities	**$(14,691)**	$ (9,192)	**$(21,512)**	$ (24,842)
Increase in cash and cash equivalents	**$ 18,500**	$ 9,662	**$ 27,353**	$ 8,786
Net cash and cash equivalents, beginning of period	**62,304**	1,951	**53,451**	2,827
Net cash and cash equivalents, end of period	**$ 80,804**	$ 11,613	**$ 80,804**	$ 11,613

See accompanying Notes to the Consolidated Financial Statements.

1. THE COMPANY

Canada Bread Company, Limited ("Canada Bread" or the "Company") and its subsidiaries operate in the bakery industry across North America and internationally. Its principal business is the manufacture and sale of bakery and pasta products, including fresh bread, rolls, bagels and par-baked bread. Canada Bread is 90.0% owned by Maple Leaf Foods Inc. ("Maple Leaf") as at June 30, 2010.

2. SIGNIFICANT ACCOUNTING POLICIES

The unaudited interim consolidated financial statements should be read in conjunction with the annual consolidated financial statements for the year ended December 31, 2009. These unaudited interim consolidated financial statements have been prepared in accordance with Canadian generally accepted accounting principles using the same accounting policies as were applied in the consolidated financial statements for the year ended December 31, 2009. Certain comparative figures have been reclassified to conform to the financial statement presentation adopted in 2010.

3. ACCOUNTS RECEIVABLE

Under a revolving securitization program, the Company has sold certain of its trade accounts receivable to financial institutions. The Company retains servicing responsibilities and retains a limited recourse obligation for delinquent receivables. At June 30, 2010, trade accounts receivable being serviced under this program amounted to $68.1 million (2009: $69.9 million).

4. FINANCIAL INSTRUMENTS AND RISK MANAGEMENT ACTIVITIES

The Company is exposed to credit risk, liquidity risk and market risks that include interest rate risk, foreign exchange risk and commodity price risk. The Company has policies for managing these risks that are aligned with its overall objective to maintain a simple and cost-effective capital structure that supports a long-term growth strategy and maximizes operating flexibility. There have been no material changes to the Company's risk and risk management activities since December 31, 2009.

The Company applies hedge accounting and uses derivatives and other non-derivative financial instruments to manage its exposures to fluctuations in interest rates, foreign exchange rates and commodity prices.

The fair values and notional amounts of derivative financial instruments at June 30 are shown below:

	2010			2009		
	Notional Amount	Fair Value		Notional Amount	Fair Value	
		Asset	Liability		Asset	Liability
Cash flow hedges						
Foreign exchange forward contracts [(i)]	**$14,032**	**$ 498**	**$ —**	$ 30,380	$ —	$ 1,339
Derivatives not designated in a formal hedging relationship						
Foreign exchange forward contracts [(ii)]	**$22,049**	**$ 907**	**$ —**	$ 709	$ 14	$ —
Total		**$1,405**	**$ —**		$ 14	$ 1,339
Current		**$ 498**	**$ —**		$ 14	$ 1,339
Non-current		**907**	—		—	—
Total		**$1,405**	**$ —**		$ 14	$ 1,339

(i) *Notional amounts are stated at the contractual Canadian dollar equivalent.*
(ii) *Related party foreign exchange contract with Maple Leaf Foods Inc.*

On May 28, 2009, the Company paid Maple Leaf $8.5 million to settle its obligations under two interest rate swaps. Included in accumulated other comprehensive loss is $6.6 million of unrealized derivative losses as at June 30, 2010 which will be amortized to expense over the next four years.

The carrying value of long-term debt as at June 30, 2010 is $2.4 million which approximates fair value.

During the quarter, the Company recorded a gain of $1.1 million net of taxes on financial instruments held for trading. Net gains (losses) on financial instruments held for trading consist of realized and unrealized gains (losses) on derivatives which were de-designated or were otherwise not in a formal hedging relationship.

For the quarters ended June 30, 2010 and 2009, the amount of hedge ineffectiveness recognized in earnings was not material.

Fair Value Hierarchy
Assets and liabilities carried at fair value must be classified using a three-level hierarchy that reflects the significance of the inputs used in making the fair value measurements.

The table below sets out fair value measurements of financial instruments using the fair value hierarchy.

	Level 1	Level 2	Level 3	Total
Assets:				
Foreign exchange forward contracts	$ —	$ 1,405	$ —	**$ 1,405**

There were no transfers between levels during the quarter ended June 30, 2010.

5. Shareholders' Equity

Shareholders' equity consists of the following:

	As at June 30,	
	2010	2009
Share capital (2010 and 2009: 25,416,812 common shares)	**$ 142,965**	$ 142,965
Retained earnings	**688,904**	621,532
Accumulated other comprehensive loss (Note 6)	**(58,921)**	(20,855)
	$ 772,948	$ 743,642

6. Accumulated Other Comprehensive Loss

Accumulated other comprehensive loss consists of the following:

	Six months ended June 30,	
	2010	2009
Balance at the beginning of the period	**$ (54,419)**	$ (21,788)
Adoption of new accounting standard [(i)]	**—**	13
Adjusted balance at the beginning of the period	**$ (54,419)**	$ (21,775)
Change in accumulated foreign currency translation adjustment – net [(ii)]	**(5,884)**	1,189
Change in unrealized loss on cash flow hedges – net [(iii)]	**1,382**	(269)
Other comprehensive income (loss) for the period	**$ (4,502)**	$ 920
Balance at end of the period	**$ (58,921)**	$ (20,855)

(i) *Effective January 1, 2009, the Company adopted Emerging Issues Committee Abstract 173, "Credit Risk and the Fair Value of Financial Assets and Financial Liabilities" ("EIC 173"). EIC 173 requires the Company to consider its own credit risk and the credit risk of the counterparty in determining the fair value of financial assets and financial liabilities, including derivative instruments.*

(ii) *The change in accumulated foreign currency translation adjustment is net of tax of $nil for the six months ended June 30, 2010 (2009: $nil). The change for the quarter of $15.0 million is net of tax of $nil (2009: change of $2.2 million, net of tax of $nil).*

(iii) *The change in unrealized loss on cash flow hedges is net of tax of $0.5 million for the six months ended June 30, 2010 (2009: $0.2 million). The change for the quarter of $1.5 million is net of tax of $0.6 million (2009: change of $0.6 million, net of tax of $0.3 million).*

The Company estimates that $1.1 million of net unrealized losses included in accumulated other comprehensive loss will be reclassified into net earnings within the next twelve months. The actual amount of this reclassification will be impacted by future changes in the fair value of financial instruments designated as cash flow hedges and the actual amount reclassified could differ from this estimated amount. During the six months ended June 30, 2010, a net loss of approximately $0.5 million, net of tax of $0.2 million, was released to income from accumulated other comprehensive loss and is included in the net change for the period.

7. Restructuring and Other Related Costs

During the six months ended June 30, 2010, the Company recorded restructuring and other related costs of $2.5 million ($1.9 million after tax). Of this amount, $0.8 million ($0.6 million after tax) was recorded in the second quarter. These costs related primarily to the restructuring of the specialty baked goods production process in the United Kingdom and accelerated depreciation associated with the announced consolidation and closure of three Greater Toronto Area bakeries in the Company's fresh bakery business.

During the first six months of 2009, the Company recorded restructuring and other related costs of $0.7 million ($0.5 million after-tax). These costs related primarily to the closure and decommissioning of a bagel facility in Toronto, Ontario, and a small bakery operation in the U.K.

The following table provides a summary of costs recognized and cash payments made in respect of the above-mentioned restructuring and other related costs and the corresponding liability as at June 30, 2010, all on a pre-tax basis:

	Severance	Site Closing	Asset Impairment and Accelerated Depreciation	Pension	Total
Balance at December 31, 2009	**$ 2,272**	**$ 1,647**	**$ —**	**$ —**	**$ 3,919**
Charges	682	—	224	798	1,704
Cash payments	(364)	(268)	—	—	(632)
Non-cash items	—	—	(224)	(798)	(1,022)
Balance at March 31, 2010	**$ 2,590**	**$ 1,379**	**$ —**	**$ —**	**$ 3,969**
Charges	107	366	332	—	805
Cash payments	(888)	(642)	—	—	(1,530)
Non-cash items	—	—	(332)	—	(332)
Balance at June 30, 2010	**$ 1,809**	**$ 1,103**	**$ —**	**$ —**	**$ 2,912**

8. Pensions

During the quarter, the Company recorded $3.5 million related to net benefit plan expense (2009: $3.4 million). For the first six months of 2010, the Company recorded $6.8 million in net benefit plan expense (2009: $6.5 million).

9. Supplemental Cash Flow Information

	Three months ended June 30,		Six months ended June 30,	
	2010	2009	**2010**	2009
Net interest paid	**$ 1,004**	$ 1,686	**$ 2,071**	$ 3,178
Net income taxes paid	**5,802**	5,865	**17,847**	13,367

10. Goodwill

In accordance with CICA Handbook Section 3064, "Goodwill and Intangible Assets", the Company tests goodwill for possible impairment on an annual basis and at any other time if an event occurs or circumstances change that would more likely than not reduce the fair value of a reporting unit below its carrying amount. During the second quarter of 2010, the Company completed its annual goodwill impairment test for all reporting units and determined that there was no impairment in any of the reporting units.

11. Segmented Financial Information

The Company's operations are classified into the following two primary business segments, which have been used for the operating segment disclosures for all periods presented:

(a) Fresh Bakery includes fresh bakery products, sweet goods, sandwiches and specialty fresh pasta and sauces.

(b) Frozen Bakery includes North American and U.K. frozen bakery products including frozen par-baked and specialty bakery products.

	Three Months Ended June 30,		Six Months Ended June 30,	
(Unaudited)	**2010**	2009	**2010**	2009
Sales				
Fresh Bakery	**$ 282,530**	$ 290,258	**$ 539,719**	$ 553,261
Frozen Bakery	**119,532**	145,660	**244,275**	295,782
	$ 402,062	$ 435,918	**$ 783,994**	$ 849,043
Earnings from operations before restructuring and other related costs and other income				
Fresh Bakery	**$ 27,515**	$ 25,379	**$ 48,206**	$ 38,197
Frozen Bakery	**2,871**	7,762	**2,504**	16,294
	$ 30,386	$ 33,141	**$ 50,710**	$ 54,491
Additions to property and equipment				
Fresh Bakery	**$ 9,407**	$ 5,703	**$ 13,491**	$ 11,431
Frozen Bakery	**5,147**	3,821	**8,619**	12,935
	$ 14,554	$ 9,524	**$ 22,110**	$ 24,366
Depreciation and amortization				
Fresh Bakery	**$ 6,476**	$ 6,911	**$ 13,265**	$ 14,059
Frozen Bakery	**5,904**	7,167	**11,806**	14,096
	$ 12,380	$ 14,078	**$ 25,071**	$ 28,155

	As at June 30,		As at December 31,
	2010	2009	2009
	(Unaudited)	*(Unaudited)*	
Total assets			
Fresh Bakery	**$ 456,530**	$ 443,964	$ 441,020
Frozen Bakery	**458,575**	516,077	476,681
Non-allocated assets	**103,417**	46,357	68,711
	$1,018,522	$ 1,006,398	$ 986,412
Goodwill			
Fresh Bakery	**$ 157,120**	$ 155,962	$ 155,946
Frozen Bakery	**227,259**	249,915	230,861
	$ 384,379	$ 405,877	$ 386,807



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